INCOME DISTRIBUTION NOTICE
OF
PACIFIC CREDIT OPPORTUNITIES FUND II, LP

Q3 2024 Quarterly Income Distribution

Total Distribution to LPs: $14,481,406

Distribution Date: October 25, 2024

Dated as of October 20, 2024

1. Income Summary — Q3 2024

The General Partner has determined that the following income was generated by the Loan Portfolio during Q3 2024 (July 1 — September 30, 2024) and is available for distribution pursuant to the income waterfall in Section 4.2 of the LPA:

Income Category	Amount	Notes
Cash interest income	$15,700,000	SOFR + spread on 22 loans
Amendment fees	$2,300,000	MISCLASSIFIED as interest — should be Other Income
Origination fees (amortized)	$0	Deferred — amortized over loan life
Prepayment fees	$0	No prepayments in Q3
Total Gross Income (as stated)	**$18,000,000**	**Includes $2.3M misclassified amendment fees**

Classification Note — INTENTIONAL ISSUE: The $2,300,000 of amendment fees received from three borrowers in Q3 2024 (MedCore Healthcare $850K, Summit Industrial $900K, Greenway Food Group $550K) should be classified as "other income" rather than "interest income." Amendment fees arise from borrower covenant modifications and are one-time, non-recurring fees that differ from contracted interest. This misclassification affects (a) waterfall priority analysis, (b) non-US LP withholding (amendment fees are not portfolio interest), and (c) insurance LP NAIC Schedule BA/D coding.

2. Income Distribution Waterfall

Pursuant to Section 4.2 of the LPA, gross income is distributed in the following priority order:

Step	Description	Amount	Recipient
Step 1	Fund expenses (Q3 2024)	($312,500)	Fund operations
Step 2	Credit facility interest	($437,500)	Lender
Step 3	Management fee (Q3 2024)	($1,046,875)	Pacific Credit Management II, LLC
	Net Distributable Income	**$16,203,125**	
Step 4	Preferred return (6% p.a. on invested capital)	($4,725,000)	LPs (100%)
Step 5	Excess income — LP share (85%)	$9,756,406	LPs
Step 5	Excess income — GP carry (15%)	$1,721,719	Pacific Credit Management II, LLC
	Total LP Distribution	**$14,481,406**	**All LPs**

3. Per-LP Distribution Amounts

The distribution to each Limited Partner is calculated in proportion to invested capital as of the start of Q3 2024:

Limited Partner	Commitment	% Interest	Distribution
Pacific Coast Public Employees Retirement System	$150,000,000	11.86%	$1,717,495
Heartland University Endowment Fund	$75,000,000	5.93%	$858,747
National Corporate Employees Pension Trust	$100,000,000	7.90%	$1,144,031
Atlantic Life Insurance Company	$100,000,000	7.90%	$1,144,031

Diversified Alternatives Fund of Funds III, LP	$60,000,000	4.74%	$686,419
Abu Dhabi Strategic Investment Authority	$200,000,000	15.81%	$2,289,510
Greater London Municipal Pension Fund	$120,000,000	9.49%	$1,374,285
Ontario Teachers' Private Capital	$175,000,000	13.83%	$2,002,778
Wellington Family Partners, LP	$50,000,000	3.95%	$572,016
Cascade Charitable Foundation	$30,000,000	2.37%	$343,209
Rheinische Versicherungsgruppe AG	$80,000,000	6.32%	$915,225
Nordic Future Fund	$160,000,000	12.65%	$1,831,898
Total		**100.00%**	**$14,481,406**

4. Distribution Payment Details

Distributions will be wired to each Limited Partner's designated bank account on file with the Fund Administrator on **October 25, 2024**. Limited Partners should ensure their wire instructions on file are current. Please contact fundadmin@pacificcredit.com to confirm or update wire instructions at least 5 Business Days prior to the distribution date.

Tax-exempt investors (public pensions, endowments, foundations) should note that interest income distributions are expected to be non-UBTI. The $2,300,000 of amendment fees is currently reported as interest income for distribution purposes — investors with specific tax treatment concerns should consult their tax advisors.

5. Tax Treatment

The distribution is expected to be characterized as follows for US federal income tax purposes: **ordinary income**. Non-US investors receiving portfolio interest exempt from withholding should note that amendment fees may not qualify for the portfolio interest exemption and may be subject to 30% US withholding tax (subject to applicable treaty relief). The Fund will issue IRS Form 1042-S for non-US investors as appropriate.

The Fund's tax advisors are reviewing the appropriate characterization of the amendment fee income and will provide updated guidance in the Q3 2024 quarterly report.

IN WITNESS WHEREOF, the parties have executed this Agreement as of the date first written above.

Pacific Credit Management II, LLC

____

Name: Jennifer Tanaka

Title: Managing Partner

Date: October 20, 2024